

FEDERAL MARITIME COMMISSION

Office of the Administrative Law Judges

SIMPLE FORWARDING, INC., *Claimant*

v.

CHINA UNITED LINES LTD. AND NORTON LILLY
INTERNATIONAL, *Respondents*.

DOCKET NO. 2010(F)

Served: January 3, 2025

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

**ORDER GRANTING IN PART AND DENYING IN PART CLAIMANT’S MOTION TO STRIKE
RESPONDENT CULINES’ DECEMBER 16 RESPONSE TO THE AMENDED COMPLAINT AND
ORDER GRANTING MOTION FOR EXTENSION OF TIME FOR CLAIMANT TO RESPOND TO
RESPONDENTS’ RESPONSE TO THE AMENDED COMPLAINT**

On December 16, 2024, Respondents filed the Answer of China United Lines Limited and Norton Lilly International to Amended Complaint of Simple Forwarding (“December 16 Response”). On December 22, 2024, Claimant filed a Motion to Strike Respondent CULines’ December 16 Response to the Amended Complaint (“Motion to Strike”), which I **GRANT IN PART** and **DENY IN PART**. Norton Lilly International (“Norton Lilly”) is **ORDERED** to respond no later than **January 13, 2025**, and indicate why Ms. Ashley Xu was properly authorized to file the December 16 Response on behalf of Norton Lilly, or, alternatively, file a proper answer or other response.¹

In addition, on January 2, 2025, Claimant also filed Motion for Extension of Time for [Claimant] to Respond to Respondents['] Response to the Amended Complaint (“Motion to Extend”), which is **GRANTED**. Claimant may file a Reply as permitted in 46 C.F.R. § 502.313 no later than **January 13, 2025**.

I. BACKGROUND

a. Background Filings and Orders

On September 11, 2024, Claimant filed a Motion for Leave to Amend Complaint and Request for Return to Informal Adjudication (“Motion for Leave”), along with a proposed amended complaint (“Amended Complaint”). On October 4, 2024, I issued an Order Regarding

¹ It is unclear that Norton Lilly should be a Respondent in this matter. If Norton Lilly did not issue an invoice for the per diem fees at issue, and if Claimant does not seek reparations from Norton Lilly, it may be appropriate to dismiss Norton Lilly.

Claimant's Motion for Leave to Amend Complaint and Request for Return to Informal Adjudication that, in relevant part, granted the Motion for Leave. The Notice of Filing of Amended Small Claims Complaint was served on October 8, 2024.

Respondents China United Lines Ltd. ("CULines") and Norton Lilly International ("Norton Lilly") did not file a timely answer or otherwise respond.

On November 14, 2024, I issued an Order Requesting Additional Information and Ordering Respondents to Answer ("November 14 Order"). The November 14 Order required the Respondents to answer the Amended Complaint no later than December 16, 2024. The November 14 Order also requested information pursuant to 46 C.F.R. § 502.314 from the parties, required a response from the parties by December 16, 2024, and permitted replies to the other party's responses by December 30, 2024.

On December 13, 2024, Claimant filed a Motion for Relief from Order Requesting Additional Information and Ordering Respondents to Answer.

On December 17, 2024, I issued an Order Denying Claimant's Motion for Relief from Order Requesting Additional Information and Ordering Respondents to Answer ("December 17 Order"). The December 17 Order reiterated that the parties are to provide information pursuant to 46 C.F.R. § 502.314. The December 17 Order, however, extended the deadline to respond and provide information until January 13, 2025, and ordered that the parties may reply to the other party's response by January 27, 2025. In addition, the December 17 Order requires Norton Lilly to answer or otherwise response to the Amended Complaint by January 13, 2025.

b. Respondents' December 16 Response

On December 16, 2024, Respondents filed the Answer of China United Lines Limited and Norton Lilly International to Amended Complaint of Simple Forwarding ("December 16 Response"). The December 16 Response indicates that it is on behalf of both CULines and Norton Lilly. It was filed, signed and verified by Ashley Xu, Legal Specialist of China United Lines Limited.²

The December 16 Response indicates that Ms. Xu is a Legal Specialist for CULines. Nothing in the file indicates that Ms. Xu is either an employee of Norton Lilly, or otherwise authorized to act on behalf of Norton Lilly.

² On December 18, 2024, Ms. Xu sent an email to the Commission's Office of Administrative Law Judges saying:

However, we have sent the Answer to the Amended Complaint on behalf of both China United Lines Limited and Norton Lilly International on 16th December, 2024.

Therefore, humbly request for relief from the order requiring Norton Lilly International to submit an answer or response before January 13, 2025.

II. MOTION TO STRIKE

On December 22, 2024, Claimant filed its Motion to Strike. In it, Claimant notes that Ms. Xu did not file a notice of appearance, nor did she indicate why she is authorized to act on behalf of Norton Lilly. Based on these procedural defects, Claimant argues that the December 16 Response should be stricken, the procedural defects corrected, and the response be re-filed. Claimant indicates that it sought concurrence, but did not receive a response from Respondents.

The rules under Subpart T incorporate by reference 46 C.F.R. §§ 502.21-502.23. (46 C.F.R. § 502.321(b)). “A party may appear in person or by an officer, partner, or regular employee of the party . . . in any proceeding under the rules in this part.” (46 C.F.R. § 502.21(a)). “Each person who appears in a representative capacity in a proceeding must deliver a written notice of appearance to the Secretary stating for whom the appearance is made.” (46 C.F.R. § 502.23(a)).

The Motion to Strike is **DENIED IN PART** to the extent that it argues that Ms. Xu is required to file a notice of appearance. Rule 23(a) requires a person appearing in a representative capacity to file a notice of appearance. Because Ms. Xu indicates that she is a legal specialist for CULines (*see* December 16 Response, at p. 9), she is a “regular employee” (Rule 21(a)) of CULines. As such, Ms. Xu is not representing CULines. Rather, CULines itself is appearing through its regular employee.

The Motion to Strike is **GRANTED IN PART** to the extent that it argues that Ms. Xu does not indicate how she properly represents or appears for Norton Lilly. Ms. Xu does not indicate that she is an employee for Norton Lilly. Nothing in the December 16 Response indicates that Norton Lilly is a subsidiary or CULines, or is anything more than an “agent” of CULines. (*See* December 16 Response, at p. 2). Indeed, in my December 17 Order, I recognized that Norton Lilly did not properly answer or respond to the Amended Complaint, and ordered that Norton Lilly respond by January 13, 2025.

Therefore, Norton Lilly is **ORDERED** to respond no later than **January 13, 2025**, and indicate how Ms. Ashley Xu was authorized to file the December 16 Response on behalf of Norton Lilly, or, alternatively, file a proper answer or other response.³

³ If Ms. Xu is not an officer, partner, or regular employee of Norton Lilly, and Norton Lilly wishes that Ms. Xu represent it, Ms. Xu must file a Notice of Appearance pursuant to the requirements of 46 C.F.R. § 502.23, which may be located here: [eCFR :: 46 CFR 502.23 -- Notice of appearance; substitution and withdrawal of representative](#). The requirements for a non-attorney to appear on behalf of a company for which he or she is not an officer, partner or regular employee are located on the Commission’s website here: [Non-Attorney Admission to Practice - Federal Maritime Commission](#).

Having said as much, as noted in n. 1 above, it may be fruitful for the parties to consider whether Norton Lilly is a necessary party and act accordingly.

III. MOTION TO EXTEND

On January 2, 2025, Claimant filed the Motion to Extend because the Motion to Strike has not yet been decided, and because of delays related to the holiday season in general. Claimant indicates that it sought concurrence, but did not receive a response from Respondents.

The Motion to Extend is **GRANTED**. The amended schedule is set forth below.

IV. ORDER

It is **HEREBY ORDERED** that Claimant's Motion to Strike is **DENIED IN PART** and **GRANTED IN PART**. It is

FURTHER ORDERED that Norton Lilly is **ORDERED** to respond no later than **January 13, 2025**, and indicate why Ms. Ashley Xu was properly authorized to file the December 16 Response on behalf of Norton Lilly, or, alternatively, file a proper answer or other response. It is

FURTHER ORDERED that the Motion to Extend is **GRANTED**. Claimant may file a Reply as permitted in 46 C.F.R. § 502.313 no later than **January 13, 2025**. It is

FURTHER ORDERED that Claimant and Respondents are to provide responses, information and documents as requested in the November 14, 2024, Order Requesting Additional Information and Ordering Respondents to Answer on or before **January 13, 2025**, and that each party may, at the same time, file any additional evidence or argument in support of its claims or defenses. It is

FURTHER ORDERED that on or before **January 27, 2025**, each party may also file a reply to the other party's response.

Richard C.
Ambrow Jr - S
Digitally signed by
Richard C. Ambrow
Jr -S
Date: 2025.01.03
16:31:50 -05'00'

Richard Ambrow
Administrative Law Judge